

I have counseled many couples who did take the overdraft protection and got deeply in debt as a result of it. The people who regularly go into overdraft are those who don't know their checking account balances. Obviously there are those who are dishonest and purposely overdraft, but they are a minority and usually can't get overdraft protection anyway.

Some banks automatically enroll customers who are setting up a new account in an overdraft protection plan. Banks generally charge twenty to thirty dollars per transaction.⁶ Other overdraft protection plans involve linking a checking account to a savings account or to a credit card. If you write a check or use an ATM without sufficient funds, the bank will transfer funds from one account to another and charge you for it.⁷

The overdraft protection is an enticement for people to avoid balancing their checking accounts. Several people I have counseled were startled to find out that overdraft protection wasn't a benevolent act on the part of the bank. The overdrafts (and penalties) were charged to their credit accounts at 18 to 21 percent interest. Often those accounts accumulate interest from the date of transfer, not after the normal thirty days common to credit card accounts.

Finance Company Loans

I don't want to impugn the integrity of all finance companies, because there are many honest and ethical companies in business. But, in general, local finance companies, especially those not regulated by federal laws, use high-pressure tactics in their operation and charge very high interest. For instance, in many states, finance companies that limit their loans to \$600 or less can charge interest rates that go as high as 40 percent per year!

Finance companies specialize in lending to those who can't qualify for loans through normal channels, such as banks, credit unions, or savings and loans. They also specialize in high-pressure tactics to collect their money if necessary. If you are being pursued